FREE FINANCING REPORT

Dental Office Financing Report

Why Solo and Small-Group Practices Still Finance Well in 2026, What Current Pricing and Valuations Look Like, and the Metrics That Drive Approvals

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Why Dental Office Financing Is a Genuinely Strong (But Shifting) Market in 2026

Dental practice and real estate financing remains one of the more consistently financeable niches in small business lending — SBA-oriented lenders continue to fund well-documented acquisitions on reasonable terms. At the same time, the underlying industry is shifting fast, with DSO (dental support organization) consolidation reshaping who owns practices and how deals get valued. Owners and buyers who understand both halves of that picture — the financing mechanics and the competitive landscape — put themselves in a materially stronger position.

- **SBA financing remains genuinely accessible for well-qualified buyers.** As of August 2026, SBA-backed dental practice acquisition loans price at roughly 10% to 13% APR, with strong deals (solid collections, experienced buyer) pricing toward the bottom of that band.
- **Leverage is favorable relative to most small business acquisitions.** Typical structures require just a 10% equity injection, with seller standby notes able to cover up to half of that requirement.
- **Dental-focused lenders close meaningfully faster than generalists.** Preferred SBA lenders with dental expertise close in 60 to 75 days from a complete application, versus 90 to 120 days for generalist lenders.
- **DSO consolidation is reshaping the ownership landscape.** Practice ownership among dentists has declined to 73% (down from 85% in 2005), and only about 13% of American dentists are currently DSO-affiliated overall — but that number is 27% among dentists with under 10 years of experience, roughly triple the 9% affiliation rate among veterans.
- **Valuations vary enormously by transaction type.** Doctor-to-doctor sales typically price at 60% to 85% of collections (or 1.5x to 2.5x seller's discretionary earnings), while DSO/private-equity transactions run 5x to 12x+ EBITDA depending on practice size and platform quality.

The practical takeaway: individual buyers acquiring or refinancing a solo or small-group practice continue to access competitive, predictable SBA financing. The bigger shift is on the sell side, where DSO consolidation and a widening quality spread between top-tier and middle-tier practices are changing how deals get structured and valued.

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2026 Market Outlook for Dental Office Financing

Dental office and practice financing enters the second half of 2026 with genuinely accessible SBA structures for owner-operators, set against an industry undergoing real structural change as DSO consolidation accelerates. The following figures outline where the market stands:

- SBA-backed dental practice acquisition financing prices at roughly 10% to 13% APR as of August 2026 (prime-based), with strong deals pricing toward the bottom of the range; terms run up to 10 years for a practice purchase alone, or up to 25 years when real estate is included.

  Source: Bay Street Lending, SBA Dental Practice Acquisition Loans: August 2026 Rates

- Typical structure requires a 10% equity injection of total project cost, with seller standby notes able to cover up to half of that requirement when structured with no payments during the SBA loan term; minimum debt-service-coverage ratio is 1.25x.

  Source: Bay Street Lending, 2026

- Preferred SBA lenders with dental-specific expertise close in 60 to 75 days from a complete application, compared to 90 to 120 days for generalist lenders.

  Source: Bay Street Lending, 2026

- Typical loan sizes scale with practice collections: roughly $400K–$700K for a solo general practice with $650K–$900K in collections, $800K–$1.4M for an established practice with $1.2M–$1.8M in collections, and $1.5M–$3.2M for group or specialty practices collecting $2M–$4M or more.

  Source: Bay Street Lending, 2026

- Practice valuation multiples vary sharply by buyer type: doctor-to-doctor transactions typically price at 60% to 85% of collections or 1.5x to 2.5x seller's discretionary earnings, while DSO/private-equity transactions run 5x to 8x EBITDA for tuck-in acquisitions, 9x to 11x for regional groups, and 10x to 12x+ for platform-grade practices.

  Source: DentalTransitions.com, Dental Practice Sale Multiples: 2026 Valuation Guide

- A competitive, structured sale process adds roughly 30% in value compared to direct negotiation, and the spread between top-tier and middle-tier offers has widened in 2026, rewarding higher-quality, well-documented practices.

  Source: DentalTransitions.com, 2026

- DSO consolidation continues to reshape the ownership landscape: overall dentist ownership has fallen to 73% (from 85% in 2005), and DSO affiliation now runs 27% among dentists with under 10 years of experience versus 9% among those with 25+ years — a structural shift concentrated among newer practitioners.

  Source: Clerri, DSO Industry Statistics, 2026

Bottom line for 2026: Dental office and practice financing remains a genuinely favorable niche for individual buyers — SBA structures are accessible, leverage is favorable, and

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Critical Metrics for Dental Office Financing

Lenders underwrite the operating dental practice as closely as the real estate itself. The following metrics most often determine whether a request moves forward:

1. **Practice Revenue and Collections History**

   Trailing collections and financial performance, which anchors the entire underwriting analysis.

2. **Debt Service Coverage Ratio**

   The core repayment metric applied by SBA and traditional lenders. 1.25x minimum

3. **Dentist-Owner Experience and Credentials**

   Clinical and management track record, which strongly influences lender confidence.

4. **Equipment Condition and Age**

   Whether dental chairs, imaging, and clinical equipment are current or will require near-term replacement.

5. **Patient Volume, Retention, and Hygiene Production**

   Demand base strength and recurring revenue quality; hygiene production above roughly 75% retention is generally viewed favorably.

6. **Equity Injection and Deal Structure**

   Down payment requirement and how much can be covered by seller financing.

   10% of total project cost typical; seller standby notes can cover up to half

7. **Valuation and Loan Sizing**

   How the practice is valued, which drives both purchase price and financeable loan amount.

   Doctor-to-doctor 60%–85% of collections (1.5x–2.5x SDE); DSO/PE 5x–12x+ EBITDA depending on size and platform quality; $400K–$3.2M+ typical loan range

These metrics form the practical filter that separates dental office financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Practice financial statements and tax returns (typically 2–3 years) are organized
- [ ] Year-to-date revenue and operating performance are current
- [ ] Details on patient volume, services offered, and facility condition are documented
- [ ] Equipment list with ages and condition is prepared
- [ ] Dentist-owner experience and credentials are presented
- [ ] Lease information (if leasehold) or owner-user occupancy details are ready
- [ ] Location and demographic/competitive information is gathered
- [ ] Existing debt schedule is prepared
- [ ] Entity documents and organizational structure are current
- [ ] Personal financial statements and credit information for owners/guarantors are ready

Common Reasons Dental Office Financing Requests Underperform or Get Declined

- Missing or incomplete practice financial history
- Weak or outdated equipment documentation
- Incomplete dentist-owner experience information
- Insufficient DSCR relative to the loan requested
- Declining patient volume or a heavily competitive local market

Final Perspective

Dental office financing in 2026 remains a genuinely accessible niche for well-prepared buyers — SBA structures are competitive, dental-focused lenders close quickly, and leverage is favorable relative to most small business acquisitions. But the industry itself is shifting under DSO consolidation, and the spread between the best-documented practices and weaker ones is widening. The deals that close most smoothly, and value best, are the ones where practice financials, equipment condition, and owner experience are all clean and complete before the process begins.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing practice financial history, weak equipment documentation, and incomplete owner experience information are among the most common reasons otherwise solid dental office financing requests lose time, money, and momentum.

YOUR NEXT STEP

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